Foreign Direct Investment in Kazakhstan

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Overview of FDI in Kazakhstan

Key Sectors and Investments

Kazakhstan's rich natural resources, including oil, natural gas, and minerals, have attracted substantial foreign investment. Major sectors attracting FDI include:

- Energy: Major international players like Chevron, ExxonMobil, and Royal Dutch Shell have invested significantly in oil and gas.
- Mining: Investments in copper, zinc, and gold.
- Diversification Efforts: Recent FDI in manufacturing, financial services, telecommunications, and retail.

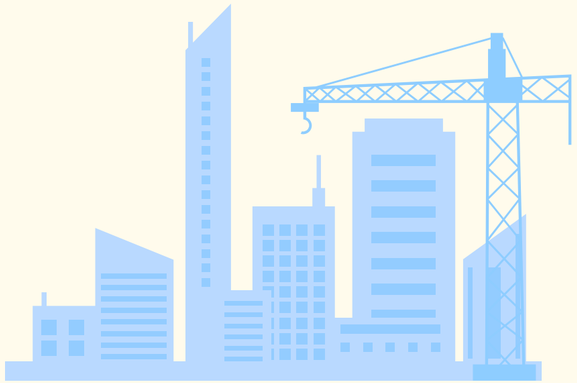
Government Initiatives

The Kazakh government has implemented policies to create a favorable investment climate, including:

- Privatization of state-owned enterprises.
- Establishment of special economic zones.
- Simplifying business regulations and protecting investor rights.
- Offering tax breaks and creating special economic zones.

Factors Influencing FDI Inflows in Kazakhstan

Infrastructure Development



Government Policies and Incentives

Political Stability and Legal Framework

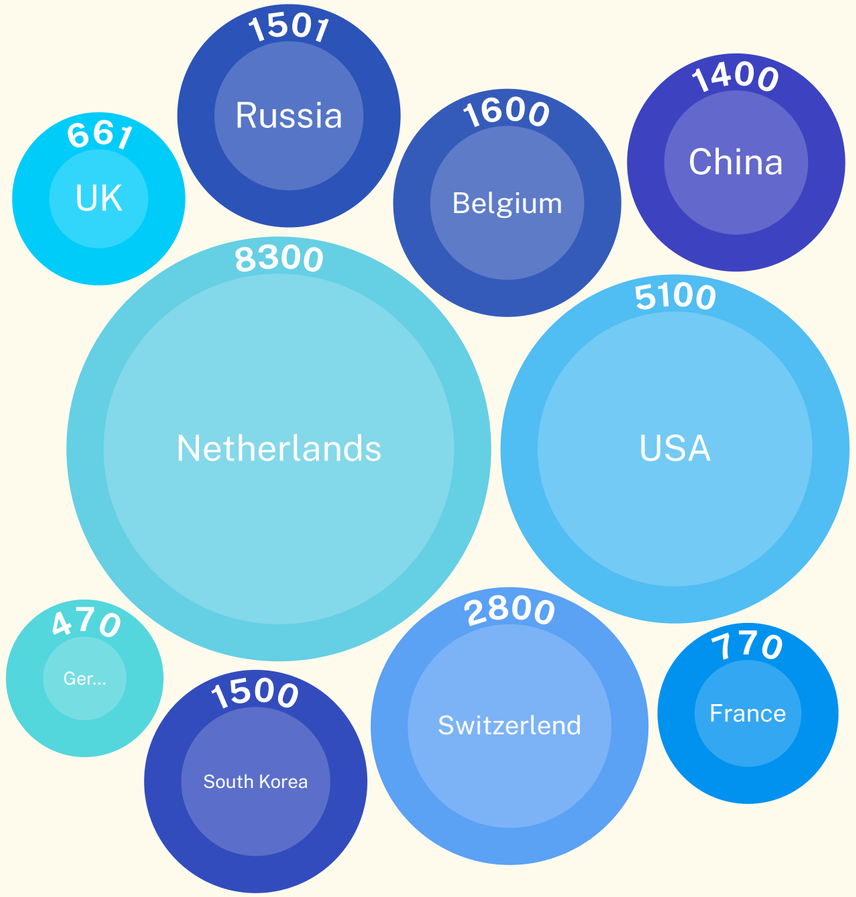
Institutional Environment

Geographical sources of FDI

Here you can find the volume and percentage of foreign direct investment, broken down by their sources

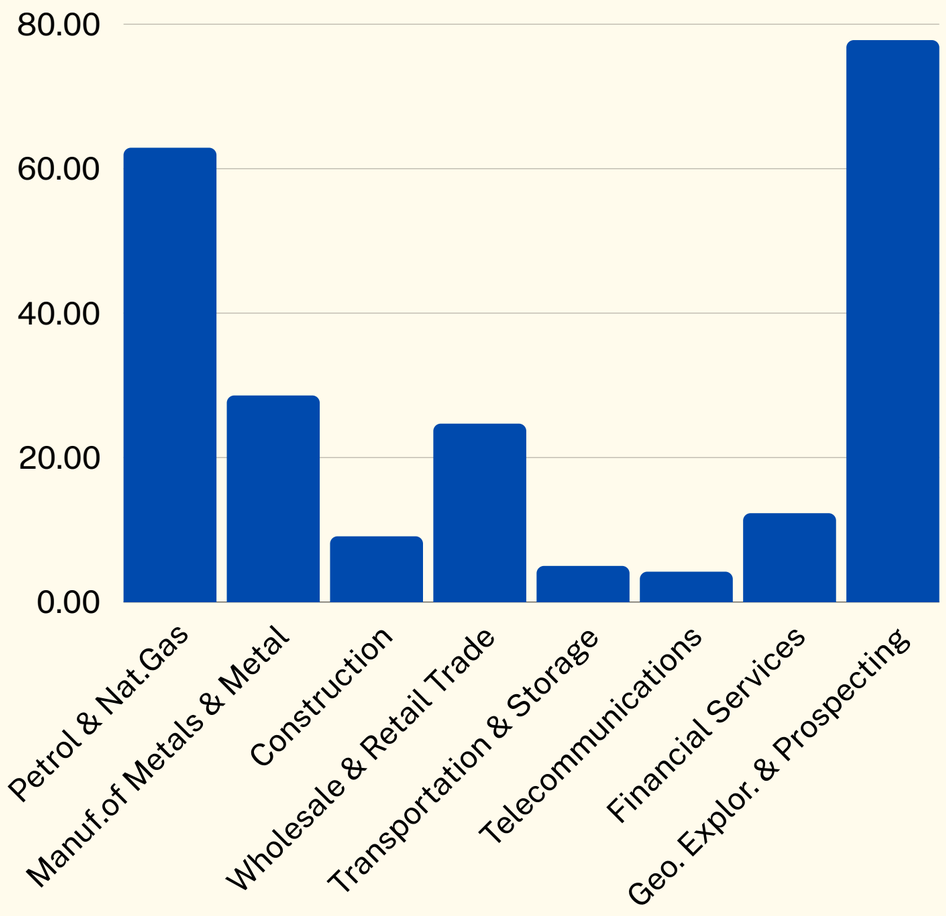
- Netherlands: Largest investor, accounting for $8,3 billion (29.2%) of FDI, mainly in oil and gas.
- United States: $5,1 billion (18.2%) of FDI, with significant investments in the Tengiz oil field.
- Switzerland: $2,8 billion (10%) of FDI, focused on financial services, manufacturing, and energy.
- Belgium: $1,6 billion, contributing significantly to various sectors.
- Russia: $1,5 billion (5.3%) of FDI, mainly in energy, mining, and manufacturing sectors.
- South Korea: $1,5 billion, investing in technology, construction, and energy, with notable companies like Samsung and Hyundai.
- China: $1,4 billion (5%) of FDI, focused on infrastructure, energy, and mining projects within the Belt and Road initiative.
- France: $770 million, with investments in energy, telecommunications, and tourism.
- UK: $661 million, covering diverse sectors including financial services and manufacturing.
- Germany: $469.5 million, contributing to various industries including manufacturing and technology.

Where FDI come from?



Sectoral Distribution

Where FDI go to?



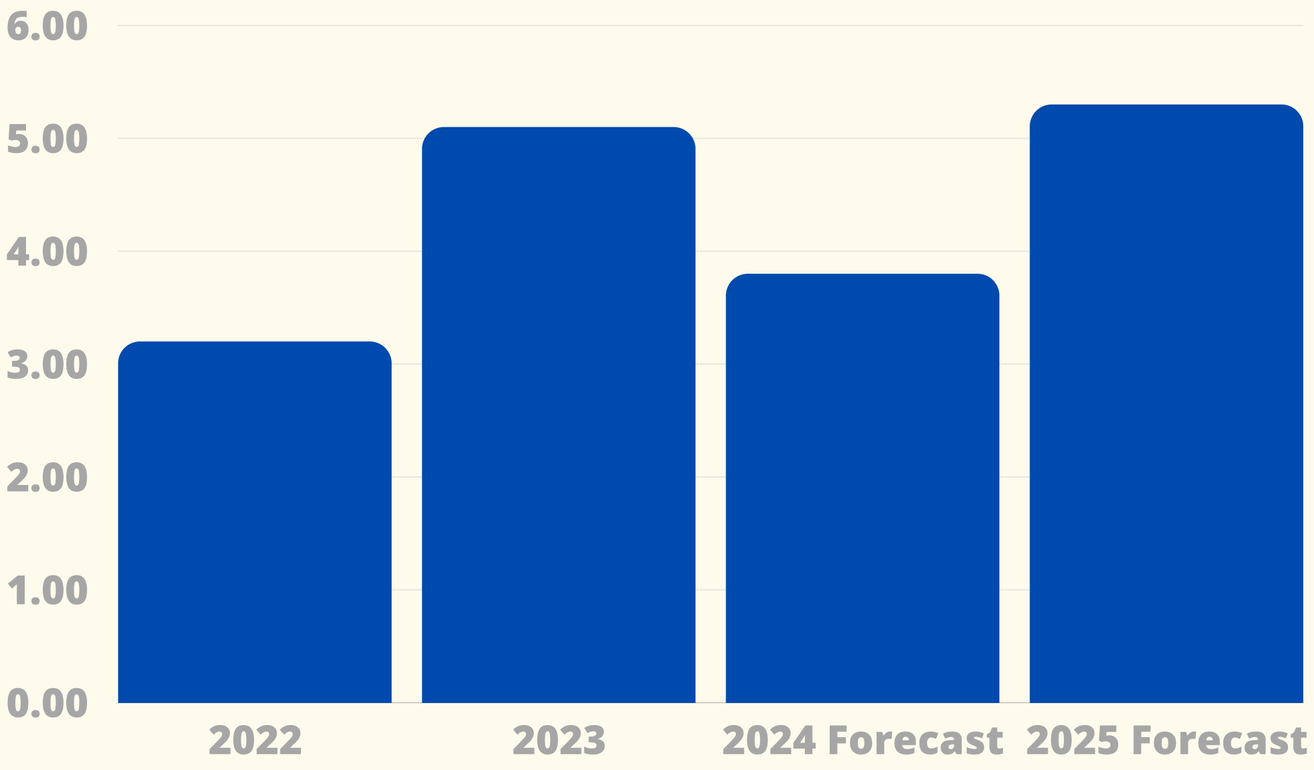
Here, you can see the distribution of foreign direct investment flows to Kazakhstan by sector for the period from 2005 to 2017

- Geological Exploration and Prospecting: $77.8 billion, reflecting abundant natural resources.
- Crude Petroleum and Natural Gas Extraction: $62.9 billion, vital to the economy.
- Manufacturing of Metals and Fabricated Metal Products: $28.6 billion, crucial for the industrial base.
- Wholesale and Retail Trade: $24.7 billion.
- Financial Services: $12.3 billion.
- Construction: $9.1 billion.
- Transportation and Storage: $5.0 billion.
- Telecommunications: $4.2 billion.

Key projects included the Tengiz oil project with Chevron, the QazTechna bus plant, and new telecommunications initiatives with Russian partners.
Challenges for Kazakhstan include retaining foreign investors and reducing investment barriers. Efforts to diversify the economy are ongoing, aiming to improve the investment climate and attract FDI in strategic and innovative areas, despite the global crisis.

Impacts of FDI on Kazakhstan's Economy

How does FDI affect?



- GDP Growth: Expected to reach 3.8% in 2024 and 5.3% in 2025 due to enhanced oil production at the Tengiz field.
- Inflation: Predicted to fall to 8.7% in 2024 and 6.3% in 2025. Utility price increases will drive service prices up by 9.8% in 2024 and 8.1% in 2025.
- Service Sector: Growth expected at 4.7% in 2024 and 4.9% in 2025.
- Industrial Sector: Growth anticipated at 3.5% in 2024, increasing to 5.7% in 2025.

- ADB Support
- Membership: Kazakhstan joined ADB in 1994.
- Funding: Over $7 billion in loans, grants, and technical assistance provided.
- Objective: Promoting a resilient, prosperous, interconnected, and sustainable Asia-Pacific region.

Concise Overview of Kazakhstan's FDI

Challenges:

- Corruption, bureaucratic inefficiencies, need for economic diversification

Opportunities:

- Strategic position as a transit hub, ongoing economic reforms, investments in education and workforce development

FDI has been a major driver of Kazakhstan's economic transformation, fostering growth, technological advancement, and diversification. By maintaining a stable investment climate, improving infrastructure, and encouraging innovation, Kazakhstan can ensure sustainable development and improved living standards for its people. The country's ability to attract substantial foreign investment, as evidenced by the upward trend in FDI from $20.9 billion in 2017 to $28 billion in 2022, highlights its resilience and attractiveness as an investment destination. Continued efforts to address existing challenges and capitalize on new opportunities will be essential for sustaining and enhancing FDI inflows, ultimately contributing to Kazakhstan's long-term economic prosperity.